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OFFICE OF THE SECRETARY
FEDERAL MARITIME COMM

Memorandum

TO : Bryant L. VanBrakle, Secretary DATE: January 8, 2004

FROM : Rebecca F. Dye, Commissioner *RF*

SUBJECT : Petition No. P3-03 - Petition of United Parcel Service, Inc., For Exemption Pursuant to Section 16 of the Shipping Act of 1984 to Permit Negotiation, Entry and Performance of Service Contracts; and Petition No. P8-03 - Petition of BAX Global, Inc., for Rulemaking.

On January 8, 2004, I met with Mr. David Spence, Managing Director Legal Regulatory Affairs for FedEx Express, Mr. Warren Dean with the law firm of Thompson Coburn, as well as Mr. Henry Wiseman, Mr. Steve DiNisco, Mr. Joseph Koslowski, and Ms. Penelope W. Register with FedEx Trade Networks at their request to receive their views on United Parcel Service's (UPS) and BAX Global's petitions to the Federal Maritime Commission. Ed Lee, my counsel, was also present at the meeting. UPS's petition requests an exemption pursuant to Section 16 of the Shipping Act of 1984 to permit UPS Ocean Freight Services, Inc., a non-vessel operating common carrier (NVOCC), to enter into and perform service contracts in a manner permitted in and subject to the requirement of Section 8(c) of the Ocean Shipping Act of 1984. The BAX Global petition requests that the Commission initiate a rulemaking to permit BAX Global, a NVOCC, and other similarly situated entities to enter confidential service contracts as "ocean common carriers" with their shipper-clients for the ocean transportation of cargo.

Mr. Wiseman, Senior Vice President Air & Ocean for FedEx Trade Networks, discussed his business operations generally and explained that FedEx Trade Networks is a licensed Ocean Transportation Intermediary, the largest customs broker in North America, as well as a subsidiary of FedEx Express. Mr. Wiseman reported that FedEx Trade Networks' customers want to develop customized transportation contracts with his company which requires both parties being able to sign confidential service contracts under the Shipping Act of 1984.

Mr. Wiseman also expressed his view that the American-Flag carriers are now all foreign owned and have a competitive advantage over FedEx Trade Networks, an American company. He also stated that his company's customers want flexible transportation services which are impossible when his company must be bound by contracts negotiated by vessel operators. Mr. Wiseman ended the meeting by stating that FedEx Trade Networks is a global cargo distribution business not a tradition NVOCC business.